

Market Report – Web3 Trading and Investment Division

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Abstract—Welcome to the third Market Report from the Web3 Trading and Investment Division. We will discuss market news, macro developments and how this alters our market thesis. Markets have rallied the past weeks gaining 23% from February lows. This has boded well for our positions, stabilizing near net 0% returns. Given the nature of the bear market, being down 40% from ATH, the relative performance is satisfactory. Our sentiment check is cautiously short-term positive and medium term bearish, expecting further drops in Q2/Q3 of 2026.

1. MARKET NEWS

The main market drivers the past weeks have been the US & Israel's "pre-emptive" strikes on Iran, and its consequences on oil prices.

- **Middle-East Conflict** → Since Feb 28th, when Israel launched "pre-emptive" attacks on Iran, there has been a back and forth of missile attacks around the gulf states. Specifically, US allies and their bases. 4 U.S. attempts at ceasefire have been rejected. A new supreme leader has been elected after Ali Khamenei's passing, his son, Mojtaba Khamenei. There are many predictions on the duration of this war. Arguably, the Ayatollah has a lot "more" to fight for than the US's attempt at a regime change, and will not be silenced easily. Can Donald Trump run a mid-term and an unwanted war at the same time? The involvement of China and Russia, which thus far has been muted, would alter the scene significantly as well. Each non-intercepted Iranian missile causes far more "damage" to the Gulf States than vice-versa. All involved parties will be pushing for a swift end to the conflict.
- **Oil Prices Sky-Rocket** → Oil Prices are up 50% to \$100/Barrel, with a peak of \$120. 30% of oil flows through the straight of Hormuz as well as 20% of global LNG supplies. The International Energy Agency is planning on releasing 400 million barrels of oil. Japan, who imports 90% of its oil, is planning on releasing 85 million barrels. The EU gas reserves are already low from winter and need re-stockpiling. At these high-prices this will be extremely costly for the government. The US remains relatively insulated from oil shocks due to its fracking industry. However, pump prices are going up, hurting Trump's mid-terms. Secondary consequences are positive financial impacts for major oil and gas exporters, such as Russia. Coupled with the US easing of Russian sanctions. The America supported war is hurting everyone but themselves.
- **Consequences** → Higher oil prices mean higher input costs resulting in higher inflation. Any expectations of near-term rate cuts are put on hold due to the inflationary pressures. Given the previous miscalculation of "Transitory Inflation", the FED will be extremely cautious.
- **Global Tariffs** → The Supreme Court rejected Trump's tariffs, to which he responded by implementing a 15% global tariff. It will take a few more months for the Supreme Court to overturn this decision. By then, Trump will have found a new tariff tool from the US constitution.
- **Private Credit Risk** → Market Financial Solutions (MFS), a specialist property lender, amid various fraudulent allegations, is closing shops due to its insolvency. BlackRock's private credit fund placed a withdrawal cap of 5% on its fund after there was

an attempted \$1.2 Billion in withdrawals. This furthers the speculation of an impending private credit market crash. Unlike the GFC, this risk is now isolated in private corporations and not within the global banks. In Private Equity, a few winners can make up for your losses. Conversely, in Private Credit, heavily exposed to the disrupt-able software industry, there are no huge winners to make up for losses.

• BTC / crypto-specific headlines:

- **Kraken:** Kraken Financial became the first digital asset bank in the U.S. to secure a Federal Reserve master account. This allows them to connect directly to the Fedwire payment system, meaning that they can settle U.S. dollar transactions natively in central bank money without relying on third-party intermediary banks. Crypto-bank accounts may be a reality sooner than later. However, this could pose some regulatory and systemic risks, which down the line may have adverse consequences.
- **xChange:** In early March 2026, Kraken launched an on-chain trading engine called "xChange" for its tokenized equities platform. The platform operates 24/5 on the Ethereum and Solana networks, allowing users to trade over 70 tokenized U.S. stocks and ETFs (like Apple, Tesla, and Nvidia) backed 1:1 by underlying shares.

2. MARKET DEVELOPMENTS

2.1. Price action and breadth

Price action has been mixed since the strikes, with crypto up around 9%, and the SPX down 5%. Gold has stayed flat around \$5,000. The war tensions have caused markets to see-saw violently, yet remain elevated.

- 7/30D Price change: **BTC:** [6.5% / 7.1%]
ETH: [7.9% / 9.2%] **Top 20 index:** [7.02% / 3.6%]

2.2. Macro backdrop

The macro backdrop continues to be a strong point of significance for us as it directly impacts risk on assets, rate-cut expectations, yields and money supply.

- **Unemployment:** 4.4% - It remains elevated increasing 0.1% from January.
- **CPI:** 2.4% - Stayed constant, remaining above the FED's target. The impacts of the oil prices will be seen in the next FED reports.

The oil prices sky-rocketing will cause far greater input costs for many firms. If these remain persistent, elevated inflation is expected, and reduced corporate profitability will result in lay-offs. The FED must wait and see how to act. Dual mandate enforces keeping inflation low and employment high. Elevated oil prices result in stagflation, the FED's worst nightmare. How the war plays out is a key factor defining the rate path. US IR are currently at 3.50 – 3.75%. Neutral rate is around 3.50%.

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2.3. Open interest and CME futures

Leverage conditions assist in providing a clear image of what the current state of the market is. Current open interest and CME futures positioning indicate a leverage flush-out, reducing the likelihood of short-term cascading drops.

- Aggregate BTC Market Open interest levels have remained relatively flat in February currently at \$22B
- BTC Weighted OI Funding Rate is 0.0008%

A flat OI and a negligible funding rate of 0.0008% indicates speculative excess has been flushed out, establishing a neutral base. The market is now primed for either a sustained counter-trend rally or a period of low-volatility consolidation as it awaits a fresh catalyst.

2.4. Key levels and sentiment

Technical Reference points continue to indicate short term periods of resistance and support helping guide the directional moves of BTC.

- **Key support:** \$67,000 (2021 ATH) **Key resistance:** \$74,000 & \$83,000
- **Base case:** As previously iterated, we cautiously see a continued uptrend in March, given no shocks to the SPX, but expect a downwards reversion going into April/May. We see \$74,000 acting as a strong resistance and \$67,000 as a strong support. The maximum upside extension we see is around the \$83,000 range and max downwards extension of approx \$52,000. We don't expect to see these price levels soon.
- Fear & Greed Index: [32], indicating fear.

3. W3T MARKET ANALYSIS

3.1. Trend and regime: Bullish on Borrowed Time

Given the macro and geopolitical backdrop we are extremely cautious, reverting our thesis to a more bearish sentiment. The upside action could play out for longer, however, we expect a downtrend to be coming in April/May. The de-leveraged nature of the markets does set the stage for a prolonged consolidation phase as expected, with news catalysts and seasonality driving price action in the near-term.

- Moreover, we would argue the scene is set for a string of negative catalysts to result in a larger scale SPX drawdown. As detailed in the graph below, FINRA margin debt is reaching record highs in nominal terms and in relation to US money supply. Given circumstances, smaller down-turns can quickly turn into sharper corrections due to leveraged cascade falls. If this were to happen, it could line with our thesis for a second BTC bottom to be coming in the near-medium term.

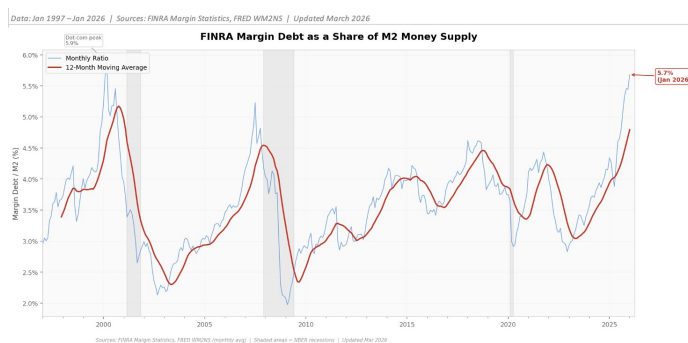


Figure 1. Margin Debt as share of M2 money supply

3.2. Macro-Economic Market Analysis

Our comparison between 2019 and 2026 remains fixed. The reversion to looser monetary policy, by Kevin Warsh under pressure from Trump, will be coupled with a draw down, expected mid-summer. We theorize this will be followed by a consolidation phase and an eventual move towards a positive trending market.

- Our macro thesis is as such; we believe the oil price shocks, coupled with hot inflation, and elevated unemployment keeps the FED on their toes. Jerome Powell is unlikely to cut rates given the previous consequences of oil related "Transitory Inflation", meaning Kevin Warsh would be the initiator of rate-cuts. Near term monetary support from the FED will likely not be a reality.

Recessions in the 1900's were a semi-frequent occurrence happening ~5 years. Gradually, this became ~10 years. We had a recession in 1990, DotCom in 2001 and GFC in 2008. 2021 had the covid flash crash. This did not end the business cycle due to the expansionary monetary policy. Hence, it's been 18 years since the last business cycle ended. Typically, business cycle conclusions follow this structure: Reduced Corporate profitability -> Stock Sell-Offs -> Corporate Lay-Offs -> Continued Profit Loss. Repeat. This results in parabolic unemployment, ending business cycles. Rising oil prices are a natural catalyst to ending business cycles. It's correlation to recessions is detailed below. We argue, it is not unexpected to have a recession in the coming years.



Figure 2. A plot of the SPX vs Oil Prices and US Recession || Gray Shading: Recession, Green Line: Oil Price Spikes

4. MOVING FORWARD FOR W3T PORTFOLIO

The macro and geopolitical environment is constrained. This furthers our general negative sentiments. Post relief rally, we see an eventual market capitulation coming in Q2, potentially caused by a larger SPX drawdown, where high oil prices could act as the catalyst.

- The bottom range for our drop is \$55,000 corresponding to the realized value of BTC buyers
- Policy will remain tight until Kevin Warsh comes into the FED and reduces IR. We still believe IR's must be below the 2Y US Treasury yield, currently at 3.5% for a sustained bull-run.

We will continue building positions in BTC, ETH and GOLD. We will deploy capital in the theorized "summer lull". Approximately 30% of our portfolio. We will be placing buy orders at \$63,000, \$60,000, \$54,000 and \$57,000 in anticipation of a draw-down. We are optimistically cautious of an uptrend out of Q4/2026.

5. REFERENCES

- **Open Interest Data:** <https://www.coinglass.com/FundingRate>, **Charts:** Made by Leon Godtfredsen, **CPI and Unemployment Data:** <https://tradingeconomics.com>, **Price Action:** <https://coinmarketcap.com>, **Market News:** Reuters, Economist and JP Morgan

Thank you for your time. Feed back and constructive criticism are always appreciated.